INDIAN ECONOMY

LEVEL II



LECTURES

IMPORTANT TERMINOLOGY WITH CRYSTAL CLEAR CLARITY - II

MODULE - 22

MISSING MIDDLE

- Industries in developing countries like India tend to be dominated by a large number of tiny enterprises and a few large firms, but disproportionately few small and medium enterprises.
- This scenario is called missing middle.

CONFLICT OF INTEREST

A conflict of Interest is a situation in which a person or organization is involved in multiple interests, financial or otherwise, and serving one interest could involve working against another.

SHELL COMPANIES

- There is no clear definition of shell company in our country. They can be established for legitimate purposes, such as to raise funds, conduct a takeover.
- They are the companies without active business operations or significant assets.
- Hence, we can conclude that their operations are for some specific purpose, before establishing a business and for transformation of certain businesses.
- However, in India, in most of the cases, they are established for money laundering and other financial wrongdoings.

The Government cracks down on shell companies to control money laundering.

BENEFICIAL INTERESTS

- A beneficial interest is the right to receive benefits on assets held by another party.
- The beneficial interest is often related to matters concerning trusts' accounts.

CRONY CAPITALISM

- It is an economic system, where there is a nexus between the business class and the political class.
- The businesses thrive because of unholy / unethical nexus with the political class.

RELATED-PARTY TRANSACTIONS

A related-party transaction is a deal between two parties, who have pre-existing business relationship or common interest or among the relatives

This is the public limited textile company. Promoter is Mr. X.

The machinery for textile company is manufactured by the firm owned by Mr. Y, who is the son of Mr. X.

The company purchased machinery from the firm owned by Mr. Y and it comes under Related-Party Transactions. It is very difficult to ensure transparency in the Related-Party Transactions.

PREDATORY PRICING

- It is the pricing policy of a firm, with the express intent of harming the rivals.
- Here, through massive price cutting / discounts, it tries to eliminate the rivals and subsequently, it increases the prices, when the competition is lost.

amazon

Jio

Flipkart

INSIDER TRADING

- Key employees or executives normally have access to the strategic information about the company.
- They resort to trading in shares and takes advantage of confidential information, which is not known to the general public. This is known as insider trading.

ANOMALY IN CREDIT RATING AGENCIES WORKING

"Issuer pays" principle is the real problem in credit rating agencies. It leads to conflict of interest.

S&P Global | IL&FS

PEER-TO-PEER LENDING PLATFORMS

- An NBFC P2P is an intermediary providing the services of loan facilitation via online medium or otherwise to the participants as per the RBI guidelines and can be legitimately operated in India. These are regulated by RBI.
- These are considered a class of Non-Banking Financial Companies, specifically NBFC P2P.
- It is considered as debt crowd funding.

EQUITY BASED CROWDFUNDING IS NOT ALLOWED!

Equity based crowdfunding is considered as "unauthorised, unregulated and illegal" by SEBI.

SECULAR STAGNATION ... THE TRAIT OF ADVANCED COUNTRIES!

- Advanced countries or rich countries face the problem of secular stagnation.
- The following long-term trends are the reasons
  - Slower productivity growth
  - Ageing
  - Population stagnation that reduces the proportion of people available for work.
  - Shift from industry to services which are less investment intensive.
- Older people who expect to live longer spend less per capita, as do low income households, who don't see their economic prospects improving.
- As people consume less and save more, investment opportunities decline and the economy goes into a low growth, low inflation syndrome of secular stagnation.

WHAT IS A BITCOIN?

- Bitcoin is one of Cryptocurrencies.
- A Cryptocurrency is a digital asset.
- This is created to function as a medium of exchange like cash.
- It uses cryptography to ensure the security of transactions, that means, it authenticates and prevents duplicate transactions.
- It functions on peer-to-peer basis without any central authority.
- It is used and accepted among the members of a specific virtual community.

Satoshi Nakamoto, widely regarded as the founder of the bitcoin defined bitcoin as "a new electronic cash system that is fully peer-to-peer, with no trusted third party".

WHY THE COUNTRIES ARE WARY OF ALLOWING CRYPTOCURRENCIES?

- Proliferation of black money
- Terror funding
- Counterfeiting of the notes
- Not issued on behalf of government
- Ineffectiveness of monetary policy
- Limits to foreign exchange transactions

BITCOIN MINING CONSUMES HUGE POWER!

When computers solve complex math problems on the Bitcoin network, they produce new bitcoin. They consume huge power.

CLARITY ABOUT EXTERNAL DEBT

EXTERNAL DEBT

SOVEREIGN DEBT

Majority of Sovereign Debt is from multi-lateral institutions

DO NOT FORGET!

- Majority dollar denominated.
- Lack of hedging is the problem.
- Short-term debt is just around 20%, hence there is no problem of rollover risk!

PRIVATE DEBT

- Highest is External Commercial Borrowings (ECBs).
- Second highest is NRI deposits.

Out of the total external debt, ECB is the highest component.

EXTERNAL COMMERCIAL BORROWINGS (ECBs)

- Loans can be raised either by public sector entity or private sector entity.
- It is a commercial loan raised by an eligible resident entity from recognized non-resident entities.
- Resident firms borrow from abroad, because of interest arbitrage.

Reliance Industries Limited

एनटीपीसी NTPC

FEATURES ABOUT ECBs

- In recent times, they are on increase.
- It is the largest component of external debt and the second largest is NRI deposits.
- Dollar denominated ECBs constitute more than 50%.
- To take care of currency depreciation risks, hedging is required, which comes with additional costs.

TO AVOID CURRENCY RISK, WE CAN GO FOR MASALA BONDS!

- Masala Bonds are Rupee denominated bonds.
- They do not have currency risk for the borrowers.
- However, they come with higher interest rates, than dollar denominated loans.
- Around 35% of ECBs are Rupee denominated.

HELICOPTER MONEY

- It is supplying money directly to the public and it can be done by the Central Government / Central Bank and it is irreversible and the meaning is that the persons, who received money need not pay back.
- It requires printing of more money.
- It expands the money supply.
- It may lead to inflation.
- Helicopter money has got more direct impact on demand as it is expected to increase spending.

QUANTITATIVE EASING

- The Central Bank purchases Government securities / bonds / other securities and it expands money supply.
- This process can be reversed by selling the same securities.
- It also requires printing more currency.
- It also expands the money supply.
- It may also lead to inflation.
- QE does not have direct impact on the public and it talks about making available more money to the Banks / Government.

VARIOUS COMPONENTS OF MOBILE PHONES

GLOBAL VALUE CHAINS

- Single finished product results from design, manufacturing and assembly in multiple countries.
- Each step may add value to the end product.
- Countries often trade know-how / technology and they make things together.
- India is not active into Global Value Chains due to various reasons.

EGMONT GROUP AND FIU-INDIA

- The Egmont Group is the united body of Financial Intelligence Units (FIUs).
- Indian FIU is called FIU-India.
- It is a platform for the secure exchange of financial intelligence with various countries to combat money laundering and terrorist financing.

EGMONT GROUP
OF FINANCIAL INTELLIGENCE UNITS

वित्तीय आसूचना एकक - भारत
Financial Intelligence Unit - India
MINISTRY OF FINANCE, GOVERNMENT OF INDIA

SERIOUS FRAUD INVESTIGATION OFFICE (SFIO)

- SFIO is under the Corporate Affairs Ministry.
- It looks at serious white collar crimes (corporate frauds) on stand-alone basis.

सत्यमेव जयते
SFIO
Serious Fraud Investigation Office

WHAT DO YOU KNOW ABOUT e-RUPI ?

- It is a pre-paid voucher.
- It is not a digital currency.
- It is person specific and product specific.
- It can be used by the Governments or the private companies.
- The voucher can be a QR Code or a SMS string-based e-Voucher.
- No need for bank account.
- Even basic feature phone users can also avail.
- The intended benefit can be tracked till the last-mile.
- Money can be spent exactly on what it is intended for.
- Suppose, e-RUPI Voucher is sent for purchasing 5 kg rice from the ration shop, it is to be used only for that purpose.
- It removes the disadvantage of DBTs, where it is difficult to ensure whether it served its intended purpose or not.
- Tax payers will also be happy, as the money is used in a productive way for the poor people.
- NPCI, which developed Unified Payments Interface (UPI) and BHIM App also developed e-RUPI.
- Hence, to conclude, e-RUPI will deliver economic benefit for a specific purpose to a specified beneficiary.

TO UNDERSTAND SHARE BUYBACK

WHAT THE COMPANIES ARE EXPECTED TO DO WHEN THEY HAVE EXCESS CASH RESERVES?

1

Companies may go for expansion, if there is conducive environment.

2

They may announce dividend to the shareholders.

3

They may resort to share buybacks.

WHAT DO YOU UNDERSTAND BY SHARE BUYBACK?

wipro

Infosys®

TATA

TATA CONSULTANCY SERVICES

Share buybacks are taxable for both listed and unlisted companies.

1. A buyback essentially is a scheme in which a company repurchases a certain amount of its outstanding shares.
2. These shares are extinguished by the company.
3. Reducing the number of shares improves the earnings per share for the continuing shareholders.
4. Buyback of shares can also be done, if promoters want to hike their stake in the company, sometimes to avoid any takeover threats.

EQUITY MARKET HAS ENOUGH DEPTH, BUT DEBT MARKET NOT SO!

EQUITY MARKET

- Here shares are traded and the daily volumes of traded stocks are very high.
- Hence, it ensures liquidity as well as enough opportunity for both buyers and sellers.

DEBT MARKET

- The debt market is dominated by trading in Govt. bonds or securities. Most of the demand is from investors such as banks, because they have to hold these bonds as part of their SLR reserves.
- However, over a period of time Indian companies started issuing bonds that offer semi-annual interest payments to investors. But these are not traded much, this is because of limited investor base and low liquidity.

Learning Space

WHAT DO YOU UNDERSTAND BY INFRASTRUCTURE DEBT FUNDS?

SBI

- IDFs are investment vehicles for channelizing investment into the infrastructure sector.
- They mobilise long-term money from insurance / pension funds.
- Domestic / Overseas Institutional investors can invest in the units issued by the IDFs.
- They can refinance existing debt of infrastructure companies, which frees the banks from existing loans.

Trust based IDF will be formed as a Mutual Fund, regulated by SEBI. Company based IDF will be formed as NBFC, regulated by RBI.

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

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